NVIDIA (NVDA) Valuation

Jude Solis, priced as of Nov 9, 2026

DCF value (Base)	Share price	Upside	Perpetuity check	Bear / Bull
$215.60	$178.67	+20.7%, Buy	$188.71	$126.53 / $294.24

Approach. Five-year integrated three-statement model built from the FY2022–FY2026 10-Ks. Historicals tie to reported totals and the balance sheet balances in every projected year. Valued with an exit-multiple DCF, cross-checked with a perpetuity-growth method and trading comps. One switch flips the model between Bear, Base and Bull.

Key assumptions

- **Revenue growth 85% / 30% / 15% / 10% / 6% (FY27–FY31).** FY27 rests on H1 actuals of $177.8bn, the $108.0bn Q3 guide and about $114bn in Q4, for about $399bn. Growth slows quickly after that. Revenue is already about 8x FY2023, and the risks are hyperscaler capex pauses, custom chips (ASICs) and China export limits. Bear case growth is 75% / 10% / 0% / 3% / 3%, and Bull is 90% / 45% / 25% / 15% / 10%.
- **Margins.** Gross margin starts at 74% (Q3 guide) and eases 50bp a year to 72%. Bear ends at 65% and Bull at 74%. R&D rises from 7.5% to 8.5% of revenue and SG&A from 1.5% to 1.9% as growth slows. Tax rate 17%.
- **Cash flow.** Capex is 2.5% of revenue, and D&A rises from 1.3% to 1.7%. Receivables stay at 65 days and payables at 57, while inventory falls from 125 to 110 days. Buybacks are 60% of free cash flow, and the share count falls 1% a year. The $25bn of June 2026 notes is included.

Valuation

- **WACC 13.9%** from CAPM: 4.88% 10-year Treasury, 5% equity risk premium, beta 1.81 (2.21 raw, adjusted). Cash flows are discounted mid-year, and FY27 counts only cash flow after the July 2026 balance sheet.
- **Exit multiple 16.5x FY31 EBITDA,** in line with Nvidia’s current 16.6x and well below the 33.8x peer median. At a mature terminal WACC of 9.8% (beta 1.0), it implies 4.9% perpetual growth, roughly nominal GDP.
- **Perpetuity method** at 4.0% growth gives $188.71. The Buy holds under both methods, but the margin is thin (+6%) without the exit multiple.
- **Comps.** The peer median (AMD, Broadcom, Qualcomm, Marvell) implies about $275, so the DCF sits 21.5% below it, which suggests the market already expects Nvidia’s growth to slow.

WACC vs. exit multiple	12.5x	14.5x	16.5x	18.5x	20.5x
12.9%	179.38	201.15	222.92	244.69	266.46
13.9%	173.66	194.63	**215.60**	236.58	257.55
14.9%	168.18	188.40	208.61	228.82	249.03

Risks and limitations

- Terminal value is 81% of enterprise value, and each turn of exit multiple moves the value by about $10.50. A 5-point change in growth moves it about $35, and 4 points of gross margin about $14.
- Key risks are export controls, customer concentration and competition from custom chips.
- Market inputs come from secondary sources and need refreshing. TSMC was left out of comps because it doesn’t disclose D&A or debt. The model will be updated after Nvidia’s Q3 report on Nov 17.